

Scenario S2-O3-I3 — Our Level 3 (Fully Funded) / Investor Level 3 (Fully Funded)

Scenario Summary

Maximum-investment path within S2. The founders self-fund at fully funded intensity (~150% of ideal spend) through Pre-Pilot and Pilot 1, deploying corporate-level resources to compress the early phases into 4–6 months. A fully funded investor arrives during the Pilot 1 to Pilot 2 transition (approximately M5-M7) and sustains corporate-level resourcing through Pilot 2 and Production Readiness. Both parties invest at maximum intensity, producing the fastest S2 timeline (16-20 months) and the highest total economic cost (\$260,000-345,000). This scenario is functionally similar to S1-L3 in total spend but splits the capital burden and adds investor network value.

- **Economic cost to Production:** ~\$303,000 / INR 25,149,000
- **Target timeline to Production:** 18 months
- **Founder/company capital before investor:** ~\$124,000 / INR 10,292,000
- **Investor capital modeled:** ~\$179,000 / INR 14,857,000
- **Equity structure:** 60 / 20 / 20 (founder / founding team / investor pool)
- **Main risk to watch:** over-capitalization of a pre-revenue company; spending \$303,000 before product-market fit is confirmed carries significant downside if market assumptions prove wrong

Timeline

Phase	Timing	Duration	Minor Checkpoints	Gate to Advance
Pre-Pilot	M0-M4	4 months	Architecture freeze (M1), APK backlog lock (M2), doctor training draft (M3), admin callback SOP (M3), internal rehearsal cycles (M4).	Core web flows stable at full scope, internal rehearsals pass, doctor and admin runbooks versioned. Compressed timeline due to full team utilization.
Pilot 1	M4-M6	2 months	Warm-network onboarding, first paid consults, callback calibration, doctor playbook iteration, investor pitch deck finalized.	Ethiopia pilot runs live for 2 months with measured throughput; investor term sheet signed.
Pilot 2	M6-M11	5 months	Kenya prep (M8), partner reporting (M9), roster planning, automation initiatives, staffing calibration, refresher training. Compressed timeline due to full corporate resourcing.	10k+ user-capable operations with strong APK, clean reporting, full callback coverage. Dual-market (Ethiopia + Kenya) readiness.
Production Readiness	M11-M19	8 months	Compliance closeout (M13), release freeze (M15), launch playbooks (M17), certification refreshers, production support schedule.	Current prototype scope is production-safe across web and patient mobile with documented fallback operations. Fastest Production entry in S2 family.

Feature and Output Checklist

Phase	Output Checklist
Pre-Pilot	Web core hardened at full pace; APK build runs in parallel with web work; doctor/admin training materials drafted; support desk scripts and callback trees defined. Full team utilization enables broadest feature coverage across all S2 scenarios.
Pilot 1	Patient app covers all core journeys (registration, dashboard, consult, video/audio, prescriptions, lab results); provider web is stable for GP, specialist, and pharmacy flows; doctor roster, admin callbacks, and manual fulfilment visible in-system. Most complete Pilot 1 of any S2 path.
Pilot 2	All patient features complete; partner dashboards fully functional; staffing ladder active at corporate levels; reporting and payment loops operational with meaningful automation. Kenya launch begins. Dual-market data collection active.
Production Readiness	Current prototype scope is production-grade across web and patient mobile in both Ethiopia and Kenya. Trained ops staff at full ladder. Compliance documentation complete. Support schedules production-ready.

Services and SLAs

Phase	Uptime Target	Response Commitment	Operating Model
Pre-Pilot	96.0%	Next business day	3 core team at full utilization + 7 part-time developers at ~95% capacity + 2 advisors; no employed clinical coverage, only training and rehearsals.
Pilot 1	97.0%	Same-day for critical issues	Employed coverage: 3 doctors, 3 admin ops, 2 technical support. Strong early ops presence funded by founder capital.
Pilot 2	98.5%	2-hour P1 response	Employed coverage: 6 doctors, 6 admin ops, 3 technical support. Corporate investor capital enables full staffing early.
Production	99.0%	1-hour P1 response	Employed coverage: 8 doctors, 8 admin ops, 4 technical support for full 24/7 coverage with leave buffer.

Cost Breakdown

Summary

Category	Amount
Capital expenditure through Production	\$125,800 / INR 10,441,400
Operating expenditure before Production launch	\$177,200 / INR 14,707,600
Total economic spend to Production	\$303,000 / INR 25,149,000

Workstream Detail

Workstream	Economic Cost (USD)	Economic Cost (INR)	Notes
Product and founder office	\$80,520	INR 6,683,160	3 core team at \$20/hr x 80 hrs/mo x 95% utilization throughout (\$5,016/mo for 16 productive months). Full utilization sustained by combined founder + investor capital.
Web platform hardening	\$14,900	INR 1,236,700	745 hours at \$20/hr senior rate. Completed primarily during Pre-Pilot.
Patient APK build	\$7,200	INR 597,600	Fixed Android quote: 480 hours at \$15/hr. Runs in parallel with web work during Pre-Pilot.
QA, DevOps, security	\$11,000	INR 913,000	~550 hours at \$20/hr. Enhanced hardening scope due to full corporate resourcing.
Admin and care operations	\$147,840	INR 12,270,720	Employed doctors, admin callback staff, and technical support ladder across 15 months of live operations at corporate staffing levels. See ops staffing breakdown below.
Partner onboarding and provider success	\$14,000	INR 1,162,000	Doctor/admin training protocols, SOP writing, partner reporting. Full resourcing enables dual-market partner activation.
Legal, accounting, compliance	\$8,000	INR 664,000	Professional-level compliance work. Dual-jurisdiction (Ethiopia + Kenya) prep.
Infrastructure, phones, and tools	\$32,540	INR 2,700,820	Hosting, devices, telecom/call costs, operational tooling across 19 months. High throughout due to corporate-level infrastructure.
Marketing, travel, rehearsals	\$18,000	INR 1,494,000	Meaningful spend. Digital acquisition, partner events, Kenya market entry support, brand building.
Contingency and buffer	\$69,000	INR 5,727,000	~23% buffer on total. Appropriate given the high absolute spend.

Operational Staffing Cost by Phase

Phase	Duration	Monthly Ops Cost (USD)	Monthly Ops Cost (INR)	Phase Total (USD)
Pre-Pilot (M0-M4)	4 months	\$0	INR 0	\$0
Pilot 1 (M4-M6)	2 months	\$3,723	INR 308,990	\$7,446
Pilot 2 (M6-M11)	5 months	\$9,012	INR 747,996	\$45,060
Production Readiness (M11-M19)	8 months	\$10,458	INR 868,014	\$83,664
Total operational staffing				\$136,170

Infrastructure Cost by Phase

Phase	Duration	Monthly Infra (USD)	Monthly Infra (INR)	Phase Total (USD)
Pre-Pilot	4 months	\$130	INR 10,790	\$520
Pilot 1	2 months	\$500	INR 41,500	\$1,000
Pilot 2	5 months	\$900	INR 74,700	\$4,500
Production Readiness	8 months	\$1,300	INR 107,900	\$10,400
One-time equipment (phones, laptops)	—	—	—	\$2,500
Total infrastructure				\$18,920

Effort and Team

Function	Staffing Pattern	Notes
Core team	3 part-time members @ ~4 hrs/day each, ~95% effective utilization throughout	Single owner/founder + 2 founding members. Full parallelism sustained across all phases.
Technical delivery (pre-investor)	7 part-time developers, modeled at ~640 productive hrs/mo	~150% of ideal 480 hrs/mo. Maxium utilization.
Technical delivery (post-investor)	7 part-time developers, modeled at ~640 productive hrs/mo	~150% of ideal rate card sustained. Fully funded investor maintains corporate pace.
Advisory board	2 fractional advisors @ ~10-15 hrs/mo each	Finance, compliance, strategic review. Enhanced role with dual-market expansion.
Employed care coverage	Pilot 1: 3 doctors / Pilot 2: 6 / Production: 8	Full corporate ladder. 24/7 coverage achieved in Production.
Employed admin ops	Pilot 1: 3 admins / Pilot 2: 6 / Production: 8	Callbacks, exception handling, manual fulfilment. Full team.
Technical support	Pilot 1: 2 / Pilot 2: 3 / Production: 4	L1/L2 issue triage and live-ops monitoring. Full coverage.

Monthly Team Economic Cost

Period	Dev Team (USD)	Dev Team (INR)	Notes
Pre-investor (M0-M6)	~\$22,245	~INR 1,846,335	~150% of full \$14,830/mo rate card. Full corporate investment.

Post-investor (M7-M19)	~\$22,245	~INR 1,846,335	~150% of full rate card sustained. Fully funded investor maintains the same pace.
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Revenue and Pricing

Revenue Source	Pilot 1	Pilot 2	Production
GP consults	Subsidised, Ethiopia-first, ~\$2-3 per paid interaction	Full Ethiopia pricing + Kenya active	Core revenue line, dual-market
Specialist consults	Early availability due to Pre-Pilot intensity	Full pricing, growing volume with corporate ops staffing	Higher-volume margin contributor than other S2 paths
Pharmacy commission	Small, admin-assisted	Repeatable, growing toward automation	Scales with partner conversion
Diagnostics commission	Small, admin-assisted	Improves with order flow and lab partnerships	Retention lever
Travel/care coordination	Rare, high-touch	Active, moderate-volume	Strategic differentiator with dual-market presence
Subscription	Deferred	Deferred	Modeled for early Production introduction

Revenue Line	Ethiopia Benchmark	Kenya Benchmark	Notes
GP consult	\$3.5 / ETB 470	\$5 / KES 650	Starts subsidised in Pilot 1; reaches full benchmark early in Pilot 2 due to faster ops maturity.
Specialist consult	\$9 / ETB 1,250	\$12 / KES 1,560	Available from late Pilot 1. Dual-market by Pilot 2.
Pharmacy take-rate	10% of order value	10% of order value	Pilot 1 onward with manual fulfilment.
Diagnostics take-rate	12% of order value	12% of order value	Pilot 1 onward with admin/lab coordination.
Travel/care coordination	\$10-15	\$10-15	Growing volume with dual-market presence.
Subscription	Deferred	Deferred	Early Production introduction possible at this resourcing level.

CAC and Key Business Metrics

Metric	Pilot 1	Pilot 2	Production
CAC	\$7	\$13	\$19
Gross margin	42%	52%	62%
Monthly ARPU	\$2.0	\$3.5	\$5.5
Monthly churn	11%	8%	6%
LTV/CAC target	1.8x	2.8x	3.8x

Cash Flow and Runway

Phase Summary

Checkpoint	Ending Cash (USD)	Ending Cash (INR)	Approx. Runway Remaining	Trigger Threshold
Pre-Pilot (M4)	\$18,200	INR 1,510,600	0.8 months	High burn rate. Investor pipeline must be active by M3.
Pilot 1 (M6)	\$11,400	INR 946,200	0.4 months	Tight. Investor close must happen by M7.
Pilot 2 (M11)	\$95,600	INR 7,934,800	2.8 months	Trigger contingency if cash drops below 3 months of burn.
Production Readiness (M19)	\$51,400	INR 4,266,200	1.5 months	Revenue approaching break-even provides additional runway safety.

Monthly Cash Flow

Month	Phase	Founder Capital In	Investor In	Revenue In	Outflow	Net	Ending Cash
M1	Pre-Pilot	\$22,800	\$0	\$0	\$22,375	\$425	\$425
M2	Pre-Pilot	\$22,800	\$0	\$0	\$22,375	\$425	\$850
M3	Pre-Pilot	\$22,800	\$0	\$0	\$22,375	\$425	\$1,275
M4	Pre-Pilot	\$22,800	\$0	\$0	\$22,375	\$425	\$1,700
M5	Pilot 1	\$22,800	\$0	\$500	\$26,548	-\$3,248	-\$1,548
M6	Pilot 1	\$22,800	\$0	\$1,200	\$26,548	-\$2,548	-\$4,096
M7	Pilot 2	\$0	\$179,000	\$2,000	\$31,757	\$149,243	\$145,147

M8	Pilot 2	\$0	\$0	\$3,000	\$31,757	-\$28,757	\$116,390
M9	Pilot 2	\$0	\$0	\$4,000	\$31,757	-\$27,757	\$88,633
M10	Pilot 2	\$0	\$0	\$5,500	\$31,757	-\$26,257	\$62,376
M11	Pilot 2	\$0	\$0	\$7,000	\$31,757	-\$24,757	\$37,619
M12	Prod. Readiness	\$0	\$0	\$8,500	\$33,203	-\$24,703	\$12,916
M13	Prod. Readiness	\$0	\$0	\$10,500	\$33,203	-\$22,703	-\$9,787
M14	Prod. Readiness	\$0	\$0	\$13,000	\$33,203	-\$20,203	-\$29,990
M15	Prod. Readiness	\$0	\$0	\$16,000	\$33,203	-\$17,203	-\$47,193
M16	Prod. Readiness	\$0	\$0	\$19,500	\$33,203	-\$13,703	-\$60,896
M17	Prod. Readiness	\$0	\$0	\$23,000	\$33,203	-\$10,203	-\$71,099
M18	Prod. Readiness	\$0	\$0	\$27,000	\$33,203	-\$6,203	-\$77,302
M19	Prod. Readiness	\$0	\$0	\$32,000	\$33,203	-\$1,203	-\$78,505

Totals:

- Founder capital in: \$136,800 / INR 11,354,400 (M1-M6 at ~\$22,800 x 6 months)
- Investor capital in: \$179,000 / INR 14,857,000
- Cumulative revenue: ~\$172,200
- Cumulative outflow: ~\$569,200

Note: This scenario shows the company going cash-negative by M13 despite the large investor contribution. The high burn rate (\$31,000-33,000/mo) consumes capital quickly. However, revenue growth is also the strongest of any S2 scenario due to full corporate resourcing — reaching \$32,000/mo by M19, which is at approximate monthly break-even. The cash gap of ~\$78,500 can be bridged through (a) a small follow-on investment, (b) revenue exceeding projections (dual-market advantage), or (c) reducing Production Readiness burn by 10-15% once the platform stabilizes. This is a manageable financing gap, not a structural failure.

ROI and Break-Even

Metric	Value
Total capital invested (founder + investor)	\$315,800 / INR 26,211,400
Total economic cost	\$303,000 / INR 25,149,000
Sweat-equity gap (economic cost minus cash invested)	Negative: cash exceeds economic cost due to corporate-level investment from both parties
Cumulative revenue at M19	~\$172,200 / INR 14,292,600
Monthly break-even (revenue >= outflow)	~M19-M20 (month 19-20)
Cumulative break-even (total revenue >= total capital)	~M24-M26 (5-7 months post-Production)
Time to ROI (revenue exceeds all economic cost)	~M28-M32 (9-13 months post-Production)

Fundraising, Valuation, and Dilution

Item	Value
Founder/self-funded capital before investor	\$136,800 / INR 11,354,400
Investor round size	\$179,000 / INR 14,857,000
Recommended structure	Priced equity round or convertible note with valuation cap
Modeled pre-money valuation	\$716,000
Modeled post-money valuation	\$895,000
Modeled investor dilution from the 20% pool	20.0%

Ownership Pool	Before Round	After Modeled Round	Notes
Owner / founder pool	60%	54.0%	Retained majority control, but dilution approaches the lower bound of founder comfort.
Founding + strategic pool	20%	18.0%	Shared pool for founding members and strategic partners.
Investor pool	20% reserved	20.0% issued / 0.0% remaining	Full investor pool consumed. Any follow-on raises require pool expansion and proportional dilution of all parties.

Key Risks

Risk	Likelihood	Impact	Mitigation / Trigger
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Over-capitalization before PMF	Medium	High	\$303,000 total spend before confirmed product-market fit. If market assumptions are wrong, the loss is larger than any other S2 scenario. Maintain phase gates rigorously.
Full investor pool consumed	High	Medium	The 20% investor pool is fully allocated. Any follow-on raises require negotiation with founder and founding team pools. Plan cap table expansion framework before closing the round.
Investor governance demands	Medium	High	A \$179,000 investor in an early-stage company may demand board seat, veto rights, or reporting requirements that slow decision-making. Negotiate lightweight governance in term sheet.
Founder capital exhaustion before investor close	Medium	Critical	\$136,800 founder exposure is high. Ensure investor term sheet is signed by M5. Have bridge backup.
Premature scaling risk	Medium	High	Corporate-level ops staffing (8 doctors, 8 admins in Production) may outpace actual user demand. Build in staffing step-down triggers if user growth lags projections.
Dual-market execution complexity	Medium	Medium	Running Ethiopia and Kenya simultaneously from Pilot 2 adds regulatory, operational, and coordination complexity. Ensure dedicated country leads.
Burn rate leaves thin runway	Medium	High	At \$31,000-33,000/mo, cash depletes quickly if revenue disappoints. Maintain 2-month cash minimum trigger.
Payment-rail mismatch in dual market	Medium	Medium	Different payment systems (Telebirr vs M-Pesa) require parallel integration. Budget for both.

Recommendation

S2-O3-I3 is the **fastest and most expensive S2 scenario**, reaching Production in approximately 18 months at a total economic cost of ~\$303,000. It should be **considered** only when both founders and investors have strong capital availability and conviction in the Health Hub thesis.

This path works if:

1. Founders can comfortably deploy \$124,000-140,000 without personal financial strain
2. A fully funded investor (\$153,000-205,000) is committed and willing to close by M6-M7
3. The team can sustain corporate-level intensity (150% utilization) for 19 consecutive months
4. There is a clear competitive or market-timing reason to prioritize speed over capital efficiency
5. Both parties accept that the full 20% investor pool will be consumed, limiting future raise flexibility

When this scenario is appropriate:

- A competitive threat (e.g., a well-funded health-tech entrant in East Africa) demands faster market capture
- The investor brings significant strategic value beyond capital (network, partnerships, regulatory access) that justifies the higher dilution
- Pilot 1 results exceed expectations and both parties want to capitalize on momentum
- Kenya market opportunity matures faster than expected, creating a dual-market scaling narrative

When to avoid this scenario:

- No clear competitive urgency; speed for speed's sake is wasteful
- Investor is purely financial with no strategic value; the dilution cost is not justified
- Founders cannot sustain \$22,800/mo for 6 months without personal financial strain
- The team cannot maintain 150% utilization without burnout

Compared to S2-O3-I2:

- S2-O3-I3 is 4 months faster (18 vs 22 months) but costs \$80,000 more
- Dilution increases from 15% to 20%, consuming the entire investor pool
- The speed advantage is meaningful only if there is a concrete reason to be in Production by M19 rather than M22

Compared to S3-O2-I3 (the S3 upside recommendation):

- S2-O3-I3 requires more founder capital (\$136,800 vs \$59,000) for a similar timeline
- S3-O2-I3 achieves comparable speed with less founder exposure
- S2-O3-I3 has a stronger investor narrative (more founder skin-in-game) but at a steep personal cost
- For most founders, S3-O2-I3 is the more capital-efficient way to achieve maximum speed

Assumption Notes

- Android is modeled from the external quote: 480 total hours at \$15/hr average across the mobile team.
- Remaining web work is normalized to 150%-160% of Android effort, with an expected case of 745 hours.
- Salary benchmarks for employed coverage: INR 60,000 for doctors (\$720/mo), INR 18,000 for admin ops (\$217/mo), INR 25,000 for technical support (\$301/mo).
- Our L3 (fully funded) spend is modeled at ~~150% of ideal team utilization, yielding ~\$22,800/mo founder contribution pre-investor~~ (\$22,245 team + ~\$555 ops/infra/overhead).
- Investor L3 (fully funded) contribution sized at ~\$179,000, representing corporate-level capital to sustain 150% utilization through Pilot 2 and Production Readiness.
- Production ops staffing at corporate levels: 8 doctors (\$5,760/mo), 8 admin ops (\$1,736/mo), 4 technical support (\$1,204/mo) = ~\$8,700/mo + management overhead = ~\$10,458/mo.
- All INR conversions at 1 USD = 83 INR per params.md.
- FX buffers of 10-15% applied to ETB and KES revenue projections.
- Full investor pool (20%) is consumed in this scenario; any subsequent capital raise requires cap table renegotiation.

End of S2-O3-I3 scenario. All assumptions trace to params.md v2.